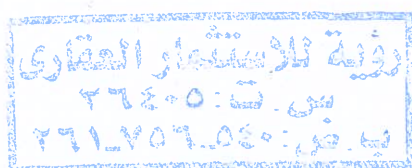


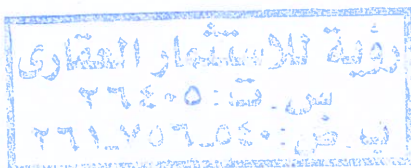
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## THE CONTRACT



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**Construction Contract for Building  
and Engineering Works  
for  
[Civil Works]  
at  
[The Big Project]**



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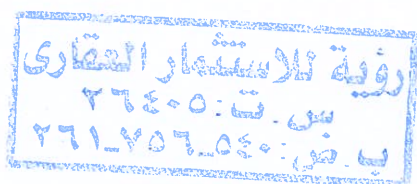
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**Construction Works of the Civil Works for buildings B1, B2, B3 and B4]**  
**at [The Big] Project**

SECTION 1.1

**CONTRACT AGREEMENT**

This Agreement is made on the day of 30/4/2025 ("Effective Date"), Between:

**Roya for Real Estate Investment**, represented herein by Kareem Ashraf Hesham Barkawi in his capacity as Member Board and having its registered business address at Block 1150/3 - Abdelhamed Badawy street - Sheraton - Helipolis, Cairo - Egypt, (hereinafter called the "**Employer**") of the one part, and

**Samco Al-Wataniya for Construction**, commercial registration number: 151851 represented herein by Sameh Mohamed Mohamed Suliman in his capacity as Chairman and having its registered business address at 76 El Tayaran St, Manteget Al Cinema, Nasr City, Cairo Governorate 4450106, (hereinafter called the "**Contractor**") of the other part,

The Employer and the Contractor are collectively referred to as the "Parties" and individually as "Party".

Whereas the Employer desires that the Construction of the Civil works for buildings B1, B2, B3 and B4]], along with the necessary finishing works and installation of relevant works at [The Big Project] to be executed by the Contractor in the manner prescribed in the Contract. The Contractor's Tender has been accepted for the completion of the project, including the remedying of any defects therein, The Parties hereby agree as follows:

- 1- In this Agreement, words and expressions shall have the same meaning as are respectively assigned to them in the Conditions of Contract hereinafter referred to.
- 2- The following documents shall be deemed to form and be read and construed as part of this Agreement. In case of discrepancy or ambiguity, the same shall be resolved by the Engineer in accordance with the following priority:
  - a) This Agreement
  - b) The Appendix to Tender
  - c) The Particular Conditions
  - d) The General Conditions
  - e) General Requirements
  - f) The Bill of Quantities
  - g) Drawings
  - h) Soil Report
  - i) Site Layout
- 3- The Employer hereby covenants to pay the Contractor, in consideration of the execution and completion of the Works and the remedying of defects therein, the Accepted Contract Amount of **EGP 367,286,025 (Only Three Hundred Sixty-seven Million Two Hundred Eighty-six Thousand Twenty-five Egyptian Pounds)** including social insurance, duties, all taxes, but excluding VAT. The Payment shall be made by the Employer at the times and in the manner prescribed in the Contract as follows:
  - a) Employer makes no warranty or representation as to the accuracy, sufficiency or completeness of the Bill of Quantities and the quantities are not to be taken as the actual and correct quantities of the Works. The amounts payable to the Contractor shall be based on the actual quantities executed. The Contract shall be on re-measured basis.
  - b) The Employer shall make an Advance Payment equivalent to 25% the Accepted Contract Amount in accordance with the Conditions of Contract, when the Contractor submits an unconditional and irrevocable bank guarantee in the same value of the advance payment. The Advance Payment shall be recovered by deducting the same percentage of the Advance Payment from the payments made to the Contractor. The guarantee shall be progressively reduced by the amounts repaid by the Contractor. The bank guarantee shall be returned to the Contractor after deduction of the full amount of the advance payment.

- c) The Contractor shall submit monthly statement for payment, showing in detail the amounts to which the Contractor considers himself entitled. The statement shall include the estimated Contract value of the Works executed and 70% of the value of the invoices of approved delivered Materials and Plants, when delivered to Site and inspected by the Engineer in accordance with the Contract Conditions.
- d) The Employer shall retain 5% of all payments due in consideration for execution of the Works. The first half of the Retention Money shall be released to the Contractor at the issuance of the Taking-Over Certificate and the second half shall be released after the expiry of the Defects Notification Period.
- e) The Contractor shall pay all amounts of social insurance, required by the applicable Laws to the relevant authorities promptly. It shall be a precondition of the release of any subsequent Interim Payment Certificate that the Contractor submits to the Employer certificates from the relevant authorities evidencing that he has paid all amounts in relation to the social insurance.
- f) The Employer shall pay the amounts due to the Contractor within (45) days after the Engineer receives the Contractor's statement, including all required supporting documents.
- 4- The Parties have agreed that the Contract shall be governed by the laws of the Arab Republic of Egypt.
- 5- If any part of the Works has been executed by the Contractor prior to the Agreement Date, such part of the Works shall be deemed to have been executed under and in accordance with the Contract and all contractual obligations shall apply to such parts of the Works. If any payments have been made in respect of such parts of the Works prior to the Effective Date, such payments shall be deemed to have been made under and in accordance with the Contract, and such sums shall constitute partial payment of the Contract Price on behalf of the Employer.

The Parties hereto have caused this Agreement to be executed the day and year first before written in accordance with their respective laws.

On behalf of The Employer (First Party):

Company: Roya for Real Estate Investment

Signed by:

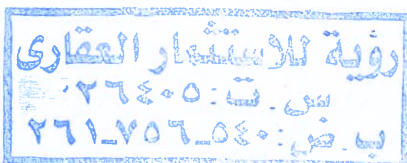
Title:

Signature:

Signed by:

Title:

Signature:



On behalf of The Contractor (Second Party):

Company: Samco Al-Wataniya for Construction

Signed by:

Title:

Signature:



**SECTION 1.2**  
**Appendix to Tender**

| S.N | Item                             | Sub-Clause    | Data                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|-----|----------------------------------|---------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.  | Employer's name and address      | 1.1.2.2 & 1.3 | Roya for Real Estate Investment, Block 1150/3 - Abdelhamed Badawy street - Sheraton - Helipolis                                                                                                                                                                                                                                                                                                                                                          |
| 2.  | Contractor's name and address    | 1.1.2.3 & 1.3 | Samco Al-Wataniya for Construction 76 El Tayaran St, Manteqet Al Cinema, Nasr City, Cairo Governorate 4450106                                                                                                                                                                                                                                                                                                                                            |
| 3.  | Engineer's name and address      | 1.1.2.4 & 1.3 | To be advised by the Employer                                                                                                                                                                                                                                                                                                                                                                                                                            |
| 4.  | Time for Completion of the Works | 1.1.3.3       | 19 months from the Commencement Date                                                                                                                                                                                                                                                                                                                                                                                                                     |
| 5.  | Defects Notification Period      | 1.1.3.7       | 365 days from the date stated on the Taking-Over Certificate issued by the Employer/ Engineer for the Works or a Section thereof.                                                                                                                                                                                                                                                                                                                        |
| 6.  | Section                          | 1.1.5.6       | Section (1): The completion of ground floor ceiling slab in 8 months calculated from the Commencement Date. This Section is a completion milestone date only and is not subject to hand over under Clause 10.<br>Section (2): The duration of execution of the whole Works is 19 months (Time for Completion), calculated from the Commencement Date.                                                                                                    |
| 7.  | Project                          | 1.1.5.9       | The Big                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| 8.  | Electronic Transmission systems  | 1.3           | E-mail and Facsimile                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| 9.  | Governing Law                    | 1.4           | The Laws of the Arab Republic of Egypt                                                                                                                                                                                                                                                                                                                                                                                                                   |
| 10. | Ruling language                  | 1.4           | English                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| 11. | Language for communications      | 1.4           | English. Correspondence and documents prepared for submission to Government and other public agencies shall be in both Arabic and English or in Arabic only, as the case may be and as directed by the Employer                                                                                                                                                                                                                                          |
| 12. | Performance Security             | 4.2           | 5%                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| 13. | Normal Working Hours             | 6.5           | (6) days per week, (8) hours per day                                                                                                                                                                                                                                                                                                                                                                                                                     |
| 14. | Delay Damages                    | 8.7           | 1% of the outstanding works per week of delay or part thereof                                                                                                                                                                                                                                                                                                                                                                                            |
| 15. | Maximum amount of delay damages  | 8.7           | 10% of the Contract Price                                                                                                                                                                                                                                                                                                                                                                                                                                |
| 16. | Adjustment in Legislation        | 13.7          | The Accepted Contract Amount is fixed and final and inclusive of all compensation, contingencies and adjustments till the completion of the Contract, including any but not limited to future changes in legislation, fuel price changes, and/or currency fluctuations. The Contractor waives and claim related the abovementioned and agrees that no additional claims shall be permitted except as indicated for the material only under the Contract. |
| 17. | Adjustment in Cost               | 13.8          | In the event of increase of the concrete and/or steel prices, an adjustment to the Accepted Contract Amount shall be made.                                                                                                                                                                                                                                                                                                                               |

| S.N | Item                                           | Sub-Clause | Data                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|-----|------------------------------------------------|------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|     |                                                |            | <p>The following prices are the basis upon which the Contractor submitted his offer. Any increase above these prices shall entitle the Contractor to an adjustment of the Accepted Contract Amount accordingly, compensating the Contractor for such increase :</p> <ul style="list-style-type: none"> <li>Concrete grade 200 kg/cm<sup>2</sup> with 250 kg/m<sup>3</sup> cement = EGP 2,000</li> <li>Concrete grade 350 kg/cm<sup>2</sup> with 400 kg/m<sup>3</sup> cement = EGP 2,500</li> <li>Concrete grade 300 kg/cm<sup>2</sup> with 300 kg/m<sup>3</sup> cement = EGP 2,350</li> <li>Concrete grade 250 kg/cm<sup>2</sup> with 300 kg/m<sup>3</sup> cement = EGP 2,250</li> <li>(Prices of concrete exclude pump and Including VAT)</li> <li>Steel price is at EGP 35,000/ton, Including VAT.</li> </ul> <p>In the event of fluctuation in prices, reference shall be made to CAPMAS indices to determine adjustments, provided delays are not due to the Contractor.</p> |
| 18. | Contract Price                                 | 14.1       | <p>The Accepted Contract Amount was based on the following:</p> <ul style="list-style-type: none"> <li>Steel formwork and Ordinary Form Work / Plywood.</li> <li>Fair-face concrete and Retaining Wall Fair Face For Internal Side Only</li> <li>Installation of two tower cranes on site.</li> <li>All mobilization for Contractor</li> </ul> <p><b>Exclusions:</b><br/>The following are excluded from the Accepted Contract Amount:</p> <ul style="list-style-type: none"> <li>Site mobilization for the Engineer and Employer</li> <li>Any permits or licenses from authorities</li> <li>Relocation or protection of existing utilities</li> <li>Dewatering works</li> </ul>                                                                                                                                                                                                                                                                                                 |
| 19. | Number and timing of instalments               | 14.2       | One instalment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| 20. | Advance payment                                | 14.2       | <p>25% of the Accepted Contract Amount to be paid as follows:</p> <ul style="list-style-type: none"> <li>30% Cash against Bank Check</li> <li>70% Steel supplied by Employer according to the approved Programme</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| 21. | Currencies and proportions                     | 14.2       | Egyptian Pound                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| 22. | Percentage of retention                        | 14.3       | 5%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| 23. | Limit of Retention Money                       | 14.3       | 5% of the Contract Price                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| 24. | Minimum amount of Interim Payment Certificates | 14.6       | 70% of monthly cash flow                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| 25. | Currencies of payment                          | 14.15      | Egyptian Pound                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

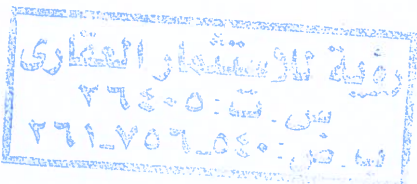
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### SECTION 1.3

#### General Conditions of Contract

The General Conditions of Contract shall be the Conditions of Contract for Construction: for Building and Engineering Works Designed by the Employer, First Edition 1999, prepared and obtainable from the Fédération International des Ingénieurs-Conseils, (FIDIC) PO Box 86, CH 1006, Lausanne, 12-Chailly Switzerland.

The General Conditions of Contract shall be read in conjunction with the Particular Conditions, which shall extend, override and/or modify the General Conditions of Contract.



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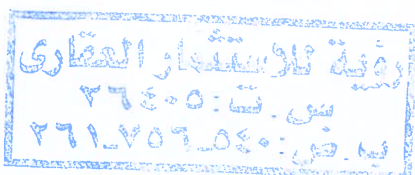
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### **Particular Conditions**

#### **Sub-Clause 1.1 - Definitions**

Under Sub-Clause 1.1.1.7 "Schedules", delete the following "completed by the Contractor and submitted with the Letter of Tender".

Sub-Clause 1.1.1.9 Delete "Letter of Tender" in the last line and replace by "Contract".

Delete Sub-Clause 1.1.2.9 in its entirety.

Delete Sub-Clause 1.1.3.1 in its entirety and replace with the following 1.1.3.1 "Base Date" means the Contract Agreement Effective Date.

Add Sub-Clause 1.1.4.13 as follow:

"whenever the following "Cost plus reasonable profit" is stated in any Sub-Clause of the Conditions of Contract, or a Cost plus reasonable profit is to be determined by the Engineer, this shall be evaluated based on multiplier for the overheads and profit (including all costs, expenses, profit, social insurance, insurances, and taxes and excluding VAT) which is equivalent to 25% of the direct cost."

Add Sub-clause 1.1.5.9, as follows: "Project" means the project stated in the Appendix to Tender

#### **Sub-Clause 1.5 - Priority of Documents**

Delete the Sub-Clause in its entirety and insert the following:

"The documents forming the Contract are set out in the Contract Agreement and are to be taken as mutually explanatory of one another. For the purposes of interpretation, the priority of the documents shall be in accordance with the sequence set out in the Contract Agreement.

If an ambiguity or discrepancy is found in the Contract documents, the Contractor shall notify the Engineer before starting work in the item with the ambiguity and/or discrepancy or error. The Engineer shall issue any necessary clarification or instruction. The rates and prices in the Contract include all items required for the proper execution and completion of the Works. The Contractor shall review the Contract documents as a whole to identify all requirements to perform the Works and shall not at any time exclude an item of the Works or be relieved of any obligation, which is stated or implied by one Contract document but not stated or implied in another.

Any portion of the Works shown on any part of the Contract documents and not mentioned or described in another will nevertheless be held to be included in the Accepted Contract Amount in the same manner as if they had been expressly shown on all Contract documents. The Contractor is deemed to have reviewed all Drawings details, Specification, general requirements, all items in the Bill of Quantities and any other Contract document, to ensure that the prices of the whole Works are included in the Bill of Quantities. The price of any item missing in the Bill of Quantities is deemed included in the prices of the other items of the Bill of Quantities. No additional Bill item will be included for such missing item. Any item left blank in the Bill of Quantities is deemed included within other Bill items. The Works shall include any work which is necessary to satisfy the requirements under the Contract or is implied by the Contract and all works which (although not mentioned in the Contract) are necessary for stability or for the completion, or safe and proper operation of the Works.

Without limiting the effect of the preceding paragraphs, should the Contractor identify what he considers to be any conflict or discrepancy, error or omission in or among the components of the Contract documents, the Contractor shall immediately identify and recommend to the Engineer the means of resolving the conflict or discrepancy, error or omission and the Engineer shall thereupon issue to the Contractor instructions as to the manner in which the work is to be carried out. If in the opinion of the Employer the more stringent of the requirements shall govern, the Contractor shall be obliged to comply with such requirements.

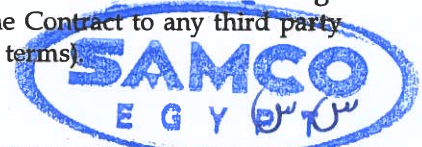
#### **Sub-Clause 1.6 - Contract Agreement**

Delete the entire Sub-Clause and replace it with the following:

"The Contractor shall bear the costs of stamp duties and similar charges (if any) imposed by law in connection with entry into the Contract Agreement".

#### **Sub-Clause 1.7 - Assignment**

Delete this Sub-Clause in its entirety and replace with the following: "The Contractor shall not assign or transfer the whole or any part of his rights or obligations under the Contract to any third party without the prior written consent of the Employer (including consent to terms).



The Employer shall have the right to assign or transfer the Contract or any part thereof or any share or interest therein without the consent of the Contractor, which assignment shall be effective from the date stated therein as determined by its parties without the need for any further notices or actions of whatever nature but the Employer shall inform the Contractor of such event.

The Contractor may, as security in favor of a bank or financial institution, assign its right to any moneys due, or to become due, under the Contract, after receiving the Client's written approval.

#### **Sub-Clause 1.8 – Care and Supply of Documents**

Add the following at the end of the last sentence of the second paragraph from this Sub-Clause:

"...in addition to a soft copy of the Contractor's Documents within 30 days from the Commencement Date. The Contractor shall submit all submittals/transmittals 14 days before the start of any construction activity. The Engineer shall review and respond within 10 days. The Contractor shall resubmit within 3 days."

Add the following paragraph at the end of this Sub-Clause:

"The Employer will make available, at his premises, all drawings, maps and relevant investigation data to the Works that are available with the Employer at the time of request by the Contractor. Provision of drawings, maps and investigation data that are not available at the Employer, will be the responsibility of the Contractor at his own expense".

#### **Sub-Clause 1.9 – Delayed Drawings or Instructions**

In the first paragraph, add "in accordance with the approved Programme", after "by when it should be issued".

In the second line of the first paragraph of this Sub-Clause insert the words "or approval", after "instruction".

In the fourth line of the first paragraph of this Sub-Clause insert the words "or approval", after "instruction".

In the second line of the second paragraph of this Sub-clause insert the words "or approval" after "instruction".

Delete the following words in point (b) under the second paragraph "plus reasonable profit".

In the third line of the last paragraph insert "or in the event of failure of the Contractor to give notice of such delay or disruption within a reasonable time" after "Contractor's Documents".

#### **Sub-Clause 1.12 – Confidential Details**

Insert the following paragraph at the end of this Sub-Clause:

"The Contractor shall treat the details of the Contract as private and confidential, except to the extent necessary to carry out the obligations under it or to comply with the applicable laws. The Contractor shall not, except with the Employer's permission which shall be given at the Employer's discretion, publish, permit to be published or disclose any information, drawings, photographs or details concerning the Works and shall take all reasonable steps to see that the Contractor's employees, consultants, subcontractors and/or agents do likewise. The Contractor shall not use the Site for the purpose of advertising except with the written consent of the Employer and subject to the conditions as the Employer may prescribe. All reports, drawings, specifications and other documents prepared by the Contractor or submitted by the Employer to the Contractor in connection with this Contract shall be the property of the Employer and shall not be re-used in any other project by the Contractor without the written approval of the Employer".

#### **Sub-Clause 1.13 – Compliance with Laws**

In line 2 of sub-paragraph (b) of Sub-Clause 1.13, insert the following after the word "approvals":

"Including any municipality completion certificates and approvals of all installations from relevant authorities prior to the issuance of the Taking-Over Certificate".

#### **Sub-Clause 1.15 – Non-Waiver, Severability and Entire Agreement**

Insert this new Sub-Clause, as follows:

"Failure by the Employer to insist upon strict performance of any of the terms or conditions of this Contract, or failure or delay to exercise any rights or remedies provided herein or by law, or failure to properly notify the Contractor in the event of breach, or the approval of, acceptance of or payment for any Goods or Works hereunder, or failure to review designs shall not release the Contractor from any

of the warranties or obligations of this Contract and shall not be deemed a waiver of any right of the Employer to insist upon strict performance hereof or any of its rights or remedies as to any prior or subsequent default hereunder nor shall any termination of Works or any part thereof under this Contract by the Employer operate as a waiver of any of the terms hereof.

In case any provision of this Contract was held invalid, illegal or unenforceable according to the Egyptian applicable law or for any other reason whatsoever, the validity, legality and enforceability of the remaining provisions of the Contract shall not in any way be affected or impaired. This Contract constitutes the entire contractual relationship between the Parties, and all prior agreements between the Parties are cancelled by virtue of this Contract".

#### **Sub-Clause 2.1 – Right of Access to the Site**

At the first paragraph, replace the first line and second line up to "time (or times) stated in the Appendix to Tender." with the following:

"The Employer will, subsequent to the Commencement Date and in reasonable time thereafter, give to the Contractor access to the Site and possession of so much of the Site as may be required to enable the Contractor to proceed with carrying out the Works in accordance with the Contract and otherwise in accordance with such reasonable proposals as the Contractor may submit, by written notice to the Engineer, with a copy to the Employer".

In sub-paragraph (b) in the third paragraph, replace the word "plus" with "but not to".

#### **Sub-Clause 2.2 – Permits, Licenses or Approvals**

At the end of the Sub-Clause, add the following:

"In case of variations resulting from the Contractor submitting a proposal, the Contractor shall prepare the revised drawings and submit to the Engineer for his approval prior to re-submission to the relevant local authorities.

If the Employer made the drawings related to the building permits available to the Contractor, the Contractor shall be responsible for reviewing the drawings related to the building permits and notify the Engineer of any conflicts/discrepancies with any of the Contract Documents. The Contractor shall support in the inspection by the relevant local authorities and for obtaining the relevant local authorities "Certificate of Completion" (or its equivalent) and other approvals necessary for the connection of services, to ensure completion of the Works".

#### **Sub-Clause 2.4 – Employer's Financial Arrangements**

Delete this Sub-Clause in its entirety and any reference to it in the Conditions of Contract.

#### **Sub-Clause 2.5 – Employer's Claims**

Delete this Sub-Clause in its entirety and any reference to the Employer's Claims in the Conditions of Contract.

Replace the wording of the Sub-Clause with the following:

"If the Employer considers himself to be entitled to the payment of any amount under any Clause of these Conditions or otherwise in connection with the Contract, the Employer may, without prejudice to any other method of recovery, deduct any such amount from any moneys due or to become due to the Contractor, under this Contract or under any other Contract with the Employer".

#### **Sub-Clause 3.1 – Engineer's Duties and Authority**

Add the following new sub-paragraphs:

"The Engineer shall obtain the specific approval of the Employer before carrying out his duties in accordance with any provision resulting in time and/or cost impact under, the following Sub-Clauses:

Sub-Clause 3.5 Determinations

Sub-clause 8.4 Extension of Time for Completion.

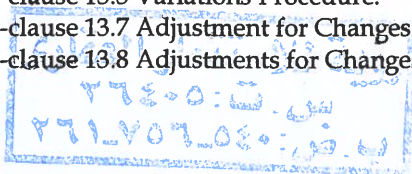
Sub-clause 13.1 Right to Vary.

Sub-clause 13.2 Value Engineering.

Sub-clause 13.3 Variations Procedure.

Sub-clause 13.7 Adjustment for Changes in Legislations.

Sub-clause 13.8 Adjustments for Changes in Cost



Any determination made without obtaining such approval shall be considered null and void. The Contractor shall have the responsibility to verify that such approval has been obtained from the Employer”.

#### **Sub-Clause 3.4 - Replacement of the Engineer**

Delete this Sub-Clause in its entirety and replace with the following:

“If the Employer replaces the Engineer, the Employer shall give notice to the Contractor of the name of the replacement Engineer”.

#### **Sub-Clause 3.5 - Determinations**

In the first paragraph, delete the following:

“The Engineer shall consult with each Party in an endeavour to reach agreement. If agreement is not achieved”.

#### **Sub-Clause 4.1 - Contractor’s General Obligations**

In the third paragraph, delete the following:

“and (ii) shall not otherwise be responsible for the design or specification of the Permanent Works”

At the end of this Sub-Clause, insert the following paragraphs: “

- a. The Contractor shall be civilly and criminally liable to the Employer for any damages, which may occur due to the Contractor not complying with his obligations under the Contract.
- b. The Contractor shall be responsible for ensuring the stability and safety of all adjacent buildings, fences, boundaries, roads, and foundations, ensuring that they are not affected by his operations on Site and deemed to have included in Contract Price all necessary costs required to take necessary measures for this purpose, including but not limited to the design, construction, and maintaining any temporary supporting elements required.
- c. Within 60 days from the Commencement Date, the Contractor shall be under the obligation to verify and check the design of the Works and all the documents forming the Contract, at his own cost. In case there is any error, omission, fault, discrepancy, or any other defect in the design or documents, the Contractor shall be under the obligation to submit to the Engineer a design review report with full supporting documents as required by the Engineer  
The Contractor hereby waives his right to any extension of time, additional costs and any other rights that may arise due to any error, omission, fault, discrepancy, or any other defect in the design and/or documents that he does not comply with any time limit stipulated in this sub-clause.  
The Contractor hereby waives his right to any extension of time, additional costs and any other rights that may arise due to any error, omission, fault, discrepancy, or any other defect in the design and/or documents only in case he did not submit the design review report within the said 60 days, otherwise, the Contractor shall be entitled to extension of time and/ or additional payment as a result of such error omission, fault, discrepancy, or any other defect in the design and/or documents.
- d. The Contractor shall provide all superintendence, labour, materials, Plant, Contractor's equipment, mobilization, labour's residence and all other things, whether of a temporary or permanent nature, required in and for such design, execution, completion and remedying of any defects, so far as the necessity for providing the same is specified in or is reasonably to be inferred from the Contract. The Contractor shall give prompt notice to the Employer of any error, omission, fault or other defect in the design of or specification for the Works which he discovers when reviewing the Contract or executing the Works.
- e. If applicable to the Contract, the Contractor shall be responsible for the decennial liability i.e., the Contractor shall be responsible for a period of ten years after the taking-over of the Works, for the total and partial collapse of the Works and for any defects existing in the Works that endanger the solidity and safety thereof.
- f. The Contractor shall submit weekly progress reports and daily logs, in the form and details required by the Engineer.
- g. The Employer reserves the right to instruct the Contractor to replace any of the Contractor's Personnel, if he is unacceptable to the Employer. In such event, the Contractor must replace this person within (7) days from date of the instruction by the Employer. The Contractor's

employees and any replacement thereof must be of the qualifications and experience necessary for undertaking the Works.

- h. The Contractor shall be responsible for the influence of the bedouins on the execution of the Works, including, but not limited to, delays, quality and prices. The Employer shall not be held responsible for any impacts resulting from bedouins acts.
- i. The Contractor shall confine his operations to the Site, and to any additional areas, which may be obtained by the Contractor and agreed by the Employer as working areas. The Contractor shall take all necessary precautions to keep his equipment and personnel within the Site and these additional areas, and to keep them off adjacent land. The Contractor shall maintain the Site in a clean safe condition and shall remove any surplus material or rubbish, from time to time. On completion, the Contractor will remove all equipment and leave the Site in a clean condition, ready for immediate use or occupation."

#### **Sub-Clause 4.2 – Performance Security**

Delete this Sub-Clause in its entirety and delete any reference to the Performance Security in the entire Conditions of Contract.

#### **Sub-Clause 4.4 – Subcontractors**

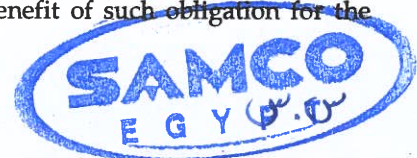
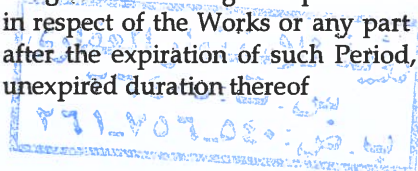
In sub-paragraph (b) of this Sub-Clause, delete the word "consent" and replace with "approval".

At the end of this Sub-Clause, insert the following:

"In addition to obtaining the Engineer's approval pursuant to this Sub-Clause, the Contractor shall:

1. Notify the Engineer 21 days before commencing work on Site of any parts of the Works he intends to subcontract for which approval of the Engineer is required under this Sub-Clause. For each subcontract the following shall be provided:
  - a. the nature and scope of the works to be subcontracted
  - b. the name, address, telephone and fax numbers of the Subcontractor
  - c. information on the Subcontractor's experience of similar works and details of the subcontractor's site supervision staff, labor and equipment and financial capabilities, in sufficient detail to enable the engineer to determine if the subcontractor is able to undertake and complete the subcontract works within the time and to the standards required by the Contract
  - d. the approximate value of the subcontract works
  - e. confirmation that the subcontract includes terms and conditions and all obligations and responsibilities contained in the Contract, as far as these apply to the subcontract.
2. Notify the Engineer, at least 7 days prior to the date that the Contractor requires approval from the Engineer, of any proposed change to the Subcontractors notified under (1) above and of any additional parts of the Works he proposes to subcontract. Similar information to that listed under (1) above shall be given for each subcontract.
3. Include in his monthly reports to the Engineer with copy to the Employer details of all subcontracts entered into, the names of the Subcontractors and the numbers of staff and labour for each subcontractor on Site during the month
4. Provide a copy of the subcontract agreement (the prices is not a must) to the Engineer for the subcontract works.
5. Include conditions and requirements in subcontracts similar to those in the Contract regarding assignment and sub-subcontracting the whole or part of the subcontract works including requirements similar to those under (a) to (d) above. Any approval by the Contractor to a subcontractor regarding such assignment or sub-subcontracting shall be subject to the prior approval of the Employer.

In the event of a subcontractor having undertaken towards the Contractor in respect of the work executed, or the goods, materials, Plant or services supplied by such subcontractor, any continuing obligation extending for a period exceeding that of the Defects Notification Period under the Contract in respect of the Works or any part thereof in which the Works are comprised, the Contractor shall, after the expiration of such Period, assign to the Employer, the benefit of such obligation for the unexpired duration thereof



If the Contractor subcontracts any part of the Works on the Site in contravention of this Sub-Clause 4.4, or if a Subcontractor assigns or subcontracts the whole or part of the subcontracted work, the Employer may take action in respect of either or both of the following:

- (a) instruct the Contractor to dismiss and remove immediately, or within such other time as may be specified in the instruction, the Subcontractor or the Sub-Subcontractor from the Site;
- (b) deduct from moneys otherwise due to the Contractor, up to 15% of the value of the works, subcontracted or sub-subcontracted, based on the Contract Price, as estimated by the Engineer.

The Contractor shall not be entitled to any extension of time for completion under Sub-Clause 8.4 [Extension of Time for Completion] arising out of any delay caused by the dismissal and removal of the Sub-contractor or Sub-Subcontractor from the Site".

#### **Sub-Clause 4.6 - Co-operation**

Delete the first two paragraphs of Sub-Clause 4.6 and substitute with the following:

"The Contractor shall be responsible for the co-operation of the Works with any other contractor(s) working in or near or in relation to the Site. The Contractor shall take all reasonable steps to organize his Work in order to minimize disruption to the other contractor(s) and to the Works.

The Contractor shall, if so instructed by the Engineer or if specified in the Contract, provide any of the following services for the Employer's workmen or any other contractor or authority carrying out work on or near the Site:

- (a) use of roads or tracks, which the Contractor is responsible to maintain
- (b) use of the Contractor's Temporary Works or Equipment, only in case such use will not cause any interruption to the Contractor's workflow.
- (c) any other services instructed by the Engineer.

Any such instruction shall constitute a Variation, if and to the extent that it causes the Contractor to incur additional Cost, and/or suffers delay."

#### **Sub-Clause 4.7 - Setting Out**

Delete the second paragraph of this Sub-Clause and replace with:

"The Contractor shall be fully responsible for seeking necessary information to assert the accuracy of those specified or notified items of reference. The Employer and/or the Engineer shall not be responsible for any errors therein if a notice of such error has not been provided by the Contractor to the Engineer. The Contractor shall be responsible for the correct positioning of all parts of the Works, and shall rectify any error in the positions, levels, dimensions or alignment of the Works".

#### **Sub-Clause 4.12 - Unforeseeable Physical Conditions**

Insert the following after the second paragraph:

"Within 30 days from the Commencement Date of the Works and/or each Section as the case may be, the Contractor shall be under the obligation to verify and check the subsoil conditions and perform soil boreholes, subsurface physical conditions studies and soil studies at his own cost. In case there is any fault, discrepancy, or any other defect in the subsoil conditions, the Contractor shall be under the obligation to give notice to the Engineer, within the said 30 days. The Contractor hereby waives his right to any extension of time, additional costs and any other rights that may arise due to any fault, discrepancy, or any other defect in the subsoil conditions that he does not give a notice to the Engineer about it, within the said 30 days. Notwithstanding the above, the following provisions shall apply".

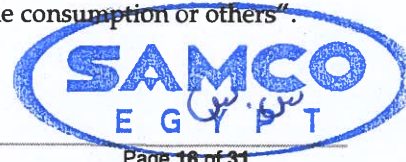
#### **Sub-Clause 4.19 - Electricity, Water and Gas**

Insert the following sentence at the end of the first paragraph after the words "...may require": "until the completion of the Works, including provision of such services as he may require for the Tests on Completion".

Delete the second and third paragraphs and replace with:

"The Employer may provide electricity for site and construction activities and the consumption cost in such case shall be deducted from the Contractor's payments. Otherwise, the Contractor shall be responsible for the supply and consumption of electricity. Gas and water required for site and construction activities shall be sole responsibility of the Contractor, the Employer shall not bear any liability or cost associated with the said responsibility, whether related to the consumption or others".

#### **Sub-Clause 4.20 - Employer's Equipment and Free-Issue Material**



Delete the whole sub-clause and replace with the following:

"The Employer shall be entitled to provide the Contractor with the free-issue Materials and Plant, as the Employer may elect in accordance with this Sub-Clause and shall have the right to add and omit Materials and Plant through the Works progress, in accordance with the procedures stated in Clause 13 [Variations]. The Employer may be entitled to omit the supply of Materials and Plant from the Contractor's scope and supply them by himself or by others. In such case, the cost of the Materials and Plant, as per the Contractor's breakdown of the price of the item, shall be deducted from the Contract Price, whereas the Contractor's profit shall remain intact, but the Contractor shall not be entitled to additional payment and/or further loss of profit.

Within a month from the Engineer's written notice to supply free-issue Materials and Plant, the Contractor shall submit, to the Employer, a complete certified quantity survey for the required free-issue Materials and Plant for remainder duration of the Project. The Contractor shall be under the obligation to use such Materials and Plant.

The Employer shall be responsible for shipping and delivery (to Site) of free-issue Materials and Plant, and the resulting costs shall be borne by him.

Once free-Issue Materials and Plant is received on Site, the Contractor shall be responsible for their handling and storage.

The Contractor shall visually inspect, or is deemed to have visually inspected, these Materials and Plant, upon delivery to the Site. The Contractor shall promptly give notice to the Engineer of any shortage, defect or default in these Materials and Plant. Unless otherwise agreed by both Parties, the Employer shall rectify the notified shortage, defect or default or may instruct the Contractor to carry out the rectification in accordance with Clause 13 [Variations]. The Contractor's receipt of these Materials and Plant shall constitute defect-free acceptance for any of the patent defects of these Materials and Plant and, accordingly, the Contractor shall be responsible for the care, quantity and storage of these Materials and Plant, as if they are supplied by the Contractor. However, the Contractor's obligations of inspection and care shall not relieve the Employer of liability for any shortage, defect or default not apparent from a visual inspection.

the Contractor shall submit to the Engineer, for approval, a 1-month prior look-ahead schedule, in the form accepted by the Engineer, for the required free-issue Materials and Plant that covers the Contractor's consumption during a one-month duration. The Contractor shall state, in its submission, the date, time and the exact required quantities of these Materials and Plant. The Contractor is deemed to have included in the Contract Price all the charges necessary to cover his obligations and liabilities under this Sub-Clause. The Employer shall be entitled to deduct from the Contractor's dues the value of the waste Materials and Plant, which exceeds the waste percentage determined by the Engineer in accordance with the industry norms.

The Contractor shall not use the free-issue Materials and Plant for any purpose other than the carrying out of the Works. Any surplus free-issue Materials and Plant shall be returned in good condition by the Contractor to the Employer to a storage area to be notified to the Contractor by the Employer.

Notwithstanding the above, where a contract between the Employer and a third party is entered into in relation to supplying concrete and/or steel, the Contractor shall be under the obligation, if so, instructed by the Employer, to procure the concrete and/or steel from the third party nominated by the Employer."

Add the following paragraph; "If such instruction caused the Contractor to incur additional cost and/or to suffer delay; the Contractor shall be entitled to payment of such cost, and/or extension of Time for Completion "

#### **Sub-Clause 4.21 - Progress Reports**

Delete the first paragraph and replace it with the following:

"Monthly progress reports shall be prepared by the Contractor and submitted to the Engineer in six copies. The report shall be submitted by the beginning of each month. The report shall cover the period up to the 25<sup>th</sup> of the previous month".

Delete the words: "notices given under Sub-Clause 2.5 [Employer's Claims] &" from sub-paragraph (f). Insert the following at the end of the Sub-Clause:

"In case of delay in submission of the monthly report by the Contractor beyond the date stated in this Sub-clause, the Engineer shall be entitled to withhold 2.5% of the net amount due to the Contractor under the coming Interim Payment Certificate and not to release this amount until the submission of

the monthly report. In addition, a weekly deduction equal to 2000 EGP/Week shall be applied on the Contractor, if the monthly report was submitted after the said dates.

The Contractor shall also submit daily and weekly reports in the form and details as reasonably prescribed by the Engineer. A weekly deduction equal to 2000 EGP/Week shall be applied on the Contractor, if the daily report was not submitted for a consecutive week."

#### **Sub-Clause 4.25 - Shop Drawings and As-Built Drawings**

Insert this new Sub-Clause, as follows:

"The Contractor shall prepare and submit to the Engineer for his approval the shop drawings required for the execution of the Works in the form and detail required by the Engineer. The Contractor shall take full responsibility for technical correctness and sufficiency of such drawings. If the Engineer notifies the Contractor that the shop drawings fail to comply with the Contract, they shall be rectified and re-submitted for approval at the Contractor's cost. Construction shall not commence on any part of the Permanent Works until the shop drawings for that part of the Works have been approved. The Contractor shall supply to the Engineer (3) three copies of each of the Contractor's documents. The Contractor's documents shall include the shop drawings, as-built drawings, materials submittals, reports, manuals, certificates, calculations and other documents of a technical nature supplied by the Contractor under the Contract or as required by the Engineer. The as-built drawings shall be submitted by the Contractor for each part of the Works. The Contractor shall keep, on the Site, a copy of the publications named in the Specification, the Contractor's documents, the Drawings and Variations and other communications given under the Contract. The Engineer's Personnel shall have the right of access to all these documents at all reasonable times."

The Contractor shall prepare, and keep up-to-date, a complete set of "as-built" records of the execution of the Works, showing the exact as-built locations, sizes and details of the work as executed. These records shall be kept on Site. Three copies shall be supplied to the Engineer prior to the commencement of the Tests on Completion.

In addition, the Contractor shall supply to the Engineer as-built drawings of the Works, showing all Works as executed, and submit them to the Engineer for review. The Contractor shall obtain the consent of the Engineer as to their size, the referencing system, and other relevant details.

Prior to the issue of any Taking-Over Certificate, the Contractor shall supply to the Engineer the specified numbers and types of copies of the relevant as-built drawings, operation and maintenance manuals, as required by the Engineer. The Works shall not be considered to be completed for the purposes of taking-over under Sub-Clause 10.1 [Taking Over of the Works and Sections] until the Engineer has received these documents.

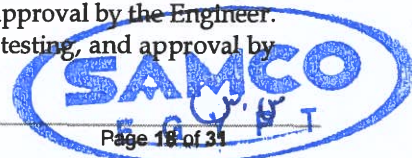
Following the Engineer's review of the as-built drawings, calculations and the operation and maintenance manuals, etc. the Engineer may arrange for the information to be re-prepared, modified or altered, to a suitable standard by others to ensure a high standard of presentation is achieved. The Contractor shall be charged the full cost of such work".

#### **Sub-Clause 4.26 - Quality Assurance System**

Insert this new Sub-Clause, as follows:

"The Contractor shall institute a quality assurance system to demonstrate compliance with the requirements of the Contract. The system shall be in accordance with the details stated in the Contract or as reasonably required by the Engineer. The Engineer shall be entitled to audit any aspect of the system. Details of all procedures and compliance documents shall be submitted to the Engineer before each execution stage is commenced. Compliance with the quality assurance system shall not relieve the Contractor of any of his duties, obligations or responsibilities under the Contract. In addition, the Contractor shall ensure that the Works are in compliance with the Engineer's quality control and assurance systems, and the Contractor shall fully co-operate and comply with these systems including, but not limited to, the following:

- Full compliance with the Employer's quality-related policies.
- The Contractor shall ensure that the execution and completion of the Contract Works shall be in accordance with the quality plan of the Project, as well as the appropriate delivery and test plans for the different works items.
- All Contractor's tools and equipment shall be subjected to calibration and approval by the Engineer.
- All materials supplied by the Contractor must be subjected to inspection, testing, and approval by the Engineer as a prerequisite for its usage in the Project.



- The Contractor shall be liable for all the consequences of any external or internal non-conformity report until the case is closed.
- The Contractor shall not impede any internal or external audits."

#### **Sub-Clause 6.3 - Persons in the Service of Employer**

Add the words "or Engineer" to the title of this Sub-Clause. Add the words "or the Engineer's" after "the Employer's" in the second line.

#### **Sub-Clause 6.5 - Working Hours**

Delete this Sub-Clause in its entirety and replace with:

"The Contractor shall work (6) days per week, with the day of rest as Friday and the normal working hours shall be (8) hours per day. If the Contractor carries out any works requiring inspection and/or supervision outside the normal working hours or in holidays, the Contractor shall pay to the Employer the supervision fees of the Engineer (EGP 2,000 per day with a max of EGP 40,000 per month). Determination of the requirement for supervision shall be at the sole discretion of the Engineer. In addition, the Contractor is required to obtain the Employer's approval prior to working on holidays. The Contractor shall, in all dealings with his staff and labour, have due regard to all recognised festivals, days of rest and religious or other customs".

#### **Sub-Clause 6.7 - Health and Safety**

Delete the Sub-Clause in its entirety and replace with:

"The Contractor shall submit, for the Engineer's approval, his safety plan within one month from the Agreement Effective Date, naming the key person in his organization who shall be responsible for administering the plan. If the Contractor fails to submit the plan within such duration, the Engineer shall withhold 1% of the Contractor's entitlement under each statement for payment until the Contractor submits the plan. This safety plan shall incorporate all the requirements for the safety of the Works and the accident prevention system.

The Contractor shall at all times conduct its operations under this Contract in a manner to avoid risk of endangerment to health, bodily harm to persons and damage to property. The Contractor shall comply with all applicable safety regulations and the Employer's Health and Safety Policy. The Contractor shall provide, at its own cost, all required personal protective equipment for all Contractor's personnel including the safety shoes, hard hats, goggles, and other safety gears. In addition, the Contractor shall:

- (a) take care of the safety of all persons entitled to be on the Site,
- (b) use reasonable efforts to keep the Site and Works clear of unnecessary obstruction so as to avoid danger to these persons,
- (c) provide fencing, lighting, guarding and security of the Works, stores, materials and equipment until completion and taking over the Works, and
- (d) provide any temporary Works (including roadways, footways, guards and fences) which may be necessary, because of the execution of the Works, for the use and protection of the public and of owners and occupiers of adjacent land.

The Employer/Engineer shall not be responsible for the Contractor's operational techniques and procedures nor for the safety and stability of Permanent and Temporary Works and the Contractor's Equipment nor for measures of safety, health and welfare of Site's personnel and visitors on Site.

The Contractor shall send to the Engineer all required documents and details of any accident immediately and maximum within one week after its occurrence. If the Contractor fails to comply with any of the following events, the Engineer shall notify the Contractor to comply and rectify the non-compliance and any consequence thereto, at the Contractor's own cost. If the Contractor repeats such failure or the non-compliance or fails to rectify it, the Engineer shall be entitled to apply deductions in an amount between EGP 500 and EGP 5000, at the Engineer's sole discretion, for each non-compliant event or fault. Non-compliant events comprise:

- 1- Workers entrance without ID.
- 2- Lack of PPE.
- 3- Improper use of equipment.
- 4- Improper operation of a vehicle.
- 5- Violence attributed to Contractor's Personnel.
- 6- Fire at workplace.
- 7- Speaking inappropriately to safety supervisors.



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- 8- Talking in mobile phone while driving vehicles or using equipment.
  - 9- Underage labours.
  - 10- Drugs or alcohols abuse.
  - 11- Refusing to comply with H&S instructions and regulations.
  - 12- Any other non-compliance to Health and Safety regulations and instructions.

The deductions to be applied in relation to the Health and Safety shall be an amount between EGP 500 and EGP 5000, at the Engineer's sole discretion, for each non-compliant event or fault."

#### **Sub-Clause 6.9 – Contractor's Personnel**

Insert the following paragraphs at the end of this Sub-Clause:

"The Contractor shall submit the organization chart within one month from the Commencement Date showing the organization and numbers of his staff and personnel, and CVs, for the Engineer's approval. The numbers and qualifications of his staff shall be specified to ensure compliance with the provisions of the Contract. The key staff of the Contractor shall be subject to acceptance by the Engineer. Key staff includes Contractor's Representative, technical office manager, construction manager, senior PCs engineer, resident planner and QHS manager.

For the purpose of maintaining and controlling the supervision and quality of work, the Contractor shall provide the relevant supervision staff for each respective discipline in accordance with the organization chart approved by the Engineer.

The absence of any of key staff above mentioned for three consecutive working days without previous written approval by the Engineer shall entitle the Engineer to deduct a daily deduction equivalent to 2,000 EGP, which is to be applied on the whole absence period."

#### **Sub-Clause 7.2 – Samples**

Insert the following paragraph at the end of this Sub-Clause:

"The Contractor shall submit all samples of the work to the Engineer to be approved prior to commencing the works related to such samples. All samples shall be supplied by the Contractor at its own cost. In case the Contractor commences such work without prior approval of the samples, the Engineer shall be entitled to instruct the Contractor to replace such works and all delays and additional costs incurred as a result would be at the Contractor's responsibility. The Contractor shall submit 3 samples for the work item in accordance with the former provisions. "

#### **Sub-Clause 7.5 – Rejection**

Delete the words: "subject to Sub- Clause 2.5 [Employer's Claims]" from the second paragraph.

#### **Sub-Clause 7.6 – Remedial Work**

Delete the words: "subject to Sub- Clause 2.5 [Employer's Claims]" from the last paragraph.

#### **Sub-Clause 8.1 – Commencement of Works**

Delete this Sub-Clause in its entirety, and replace with the following:

The Commencement Date is the latest of the following:

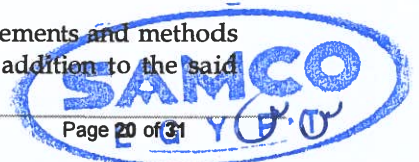
- Letter of Acceptance Effective Date
- Site Handover.
- Receipt of undertaking letter that the Employer is responsible for all permits and for the project
- Receipt of the Advance Payment

#### **Sub-Clause 8.3 – Programme**

Delete the words "The Contractor shall submit a detailed ...with actual progress or with the Contractor's obligations." From the first paragraph and replace with the following:

"The Contractor shall submit to the Engineer, within 21 days from the Commencement Date, for his approval a programme for the execution of the Works, in such form and detail as prescribed by the Engineer, in addition to the requirements set in the Specifications and the Employer's General Requirements for Execution, if any. The programme shall be prepared via Primavera P6 software, or via later version. The Contractor shall ensure to acquire the Engineer's approval to the programme with 45 days from the Agreement Effective Date.

The Contractor shall also provide in writing a general description of the arrangements and methods which the Contractor proposes to adopt for the execution of the Works. In addition to the said



requirements, the programme shall show main labour and equipment resources for each activity, and the assumed productivity for each resource. It shall also show the required dates for possession of parts of the Site related to specific Sections of the Works, and the dates on which the Contractor expects to deliver the various parts to the Engineer upon completion. If at any time it should appear that the actual progress of the Works does not conform to the approved programme or if the Engineer so instructs, the Contractor shall submit a revised programme showing the modifications to such programme necessary to ensure completion of the Works and/or Sections, as the case may be, within the Time for Completion. The programme shall show, in addition to the said requirements, main labour and equipment resources for each activity, and the assumed productivity for each resource. When preparing his revised programme (if any), the Contractor shall submit it within 21 days from the Engineer's instruction to submit the revised programme. The Contractor shall give consideration to any remarks or objects arisen by the Engineer on his programme, and shall resubmit the revised programme within 14 days from receiving such remarks or objections."

Add the following at the end of this Sub-Clause:

"The Contractor shall, along with the programme, submit a cash flow histogram, for the Employer's approval, showing the Contractor's anticipated expenditure and payments by the Employer from the Commencement Date and until the completion of the Works. The Parties agree that the amounts payable to the Contractor for the execution of the Works shall not exceed the anticipated expenditure and payments shown in the said cash flow histogram (in addition to approved Variation and Claims), and that the Employer shall be at liberty not to issue any additional sums if they exceed those sums shown in the approved cash flow histogram. If the Contractor fails to submit the Programme and/or the cash flow histogram or any revisions thereof within the set durations, the Engineer shall withhold 1% of the Contractor's entitlement under each statement for payment until the Contractor submits the Programme and/or the cash flow histogram or any revisions thereof.

The Contractor shall not commence the works in any zone/building/Section/plot (ahead of programme) unless he submits a two-months prior release form to commence such works and receives an approval by the Engineer on the form within one month from the date of such notice. If the Engineer rejects the form within the said month, then the Contractor shall not proceed with the subject works ahead. If the Contractor does not receive an approval or a rejection by the Engineer on the form within the said month, the Contractor shall be entitled to proceed with such works; however, the Contractor shall not be entitled to payment in relation to such works. In any case, the Contractor shall not commence the works in any zone/building/Section/plot (on schedule or delayed) unless he submits a two-month prior release form to the Engineer, for information only, to commence such works. No approval is required for such form.

Also, The Contractor shall not commence the works in the concrete works of any building unless he submits a 2 weeks' prior release form to commence such works and receives an approval by the Engineer on the form within 1 week from the date of such notice. The Engineer shall not withhold the approval to the release form unless there is a valid reason. If the Contractor proceeded with the concrete works for any building before the Engineer approves the release form, the Contractor shall remove the executed concrete works at his own cost in addition any damages or monies the Employer might incur as result of this default".

#### **Sub-Clause 8.4 - Extension of Time for Completion**

Insert the following sentence at the beginning of the first paragraph:

"Provided that

- i. the delay can be clearly demonstrated to be on, or be reliant upon, the critical path on the programme;
- ii. the delay analysis was made using Time Impact or Windows Analysis or other method approved by Engineer; and
- iii. the Contractor can demonstrate to the Engineer that he has used his best endeavours to mitigate such delay."

Insert the following at the end of sub-paragraph (c):

"in the event the Contractor can clearly demonstrate that the occurrence of such conditions is exceptional as compared to events recorded in official weather records for the area of the project over the last 5 years".

Add the following paragraph at the end of Sub-Clause 8.4:

"In determining any extension of the Time for Completion under this Sub-Clause, the Engineer shall be entitled to take into account the effect of work omitted by any Variation issued by him pursuant to Sub-Clause 13.1 [Right to Vary]"

#### **Sub-Clause 8.6 – Rate of Progress**

Delete the words: "subject to Sub-Clause 2.5 [Employer's Claims]" from the last paragraph.

Insert the following at the end of this Sub-Clause:

"In such case, the Engineer shall be entitled to omit parts of the works and carry them out by the Employer or by others. In such case, the Contractor shall not be entitled to any costs incurred as a result and/or to loss of profit on the omitted work. This is without prejudice to any other rights, under the Contract or at law".

#### **Sub-Clause 8.7 – Delay Damages**

Delete the words "subject to Sub-Clause 2.5 [Employer's Claims]" from the second line of the first paragraph.

Delete the words "for every day" from the first paragraph and replace with "for every week or part thereof".

After the first paragraph, add the following:

"The said sum shall be due to the Employer by the sole fact of the delay without any previous notice and without having to establish the damage which in all cases be considered as ascertained. In addition, the total amount due under this Sub-Clause for each Section, if applicable, shall not exceed 10% of the Contract Price of the relevant Section."

Add the following paragraph at the end of this Sub-Clause:

"The Employer may, without prejudice to any other method of recovery, deduct the amount of such delay damages from any moneys due or to become due to the Contractor. The payment or deduction of such delay damages shall not relieve the Contractor from his obligation to complete the Works or from any other duties, obligations or responsibilities which he may have under the Contract".

#### **Sub-Clause 8.11 – Prolonged Suspension**

Delete this Sub-Clause in its entirety.

#### **Sub-Clause 9.4 – Failure to Pass Tests on Completion**

Delete the words "Sub-Clause 2.5 [Employer's Claims] and" from the last line in the last paragraph of this Sub-Clause.

#### **Sub-Clause 10.1 – Taking Over of the Works and Sections**

Insert the following at the end of item (i) in the first paragraph: "and including all documents required to be submitted in accordance with the Contract, including, inter alia, as-built drawings and operation and maintenance manuals and the documents required under Sub-Clause 4.25 [Shop Drawings and As-Built Drawings]".

#### **Sub-Clause 10.2 – Taking Over of Parts of the Works**

Insert the following at the end of this Sub-Clause:

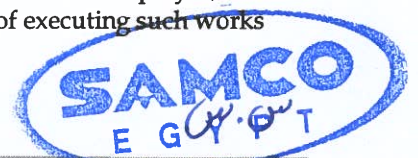
"If a Taking-Over Certificate has been issued or is deemed to have been issued for a part of the Works, the Contractor shall be under the obligation to submit all the documents required for taking-over in accordance with the Contract within two weeks from the Employer's notification that it has elected to take-over such part".

#### **Sub-Clause 11.1 – Completion of Outstanding Work and Remedying Defects**

Insert the following at the end of this Sub-Clause:

"The Contractor shall be under the obligation to execute all work required to remedy defects or damage within such reasonable time as instructed by the Engineer or the Employer. If the Contractor is delayed in executing such works or is delayed in completing any outstanding works as stated or referred to in a Taking-Over Certificate, then without prejudice to any other entitlements to the Employer, the Contractor shall pay to the Employer, as liquidated damages, 100% of the cost of executing such works (whether remedying defects or damage or outstanding works).

#### **Sub-Clause 11.2 – Cost of Remedying Defects**



Delete the words: "for which the Contractor is responsible" from sub-paragraph (a) of this Sub-Clause and replace with "of any part of the Works".

#### **Sub-Clause 11.3 - Extension of Defects Notification Period**

Delete the words: "subject to Sub- Clause 2.5 [Employer's Claims]" from the first paragraph.

Add the following paragraph at the end of this Sub-Clause:

"If two or more Sections or parts of the Works are taken-over separately, then with respect to defects appearing after the interconnection of such Sections or parts, the Contractor's responsibility under this Clause shall continue for all interconnected Sections or parts until the latest of the Defects Notification Periods has expired.

The Defects Notification Period for the Works shall be extended by a period equal to the period during which the Works cannot be used by reason of a defect or damage. If only part of the Works is affected, the Defects Notification Period shall be extended only for that part. The determination in this regards shall be at the Engineer's discretion".

#### **Sub-Clause 11.4 - Failure to Remedy Defects**

Delete the words: "subject to Sub- Clause 2.5 [Employer's Claims]" from sub-paragraph (a).

Delete "The Contractor shall have no responsibility" in item (a) and replace it with "The Contractor shall remain responsible towards the Employer".

#### **Sub-Clause 11.12 - Contractor's Liability for Materials and Plants**

Insert this new Sub-Clause, as follows:

"Without prejudice to any provision in the Contract, the Contractor shall comply with any additional requirements under the Specifications with regard to the Materials and Plants supplied by him, or on his behalf, to be incorporated in the Works. These include, among others, the warranty certificates for these Materials and Plants".

#### **Sub-Clause 12.1 - Works to Be Measured**

Delete the first sentence of the fourth paragraph and replace with:

"For the purpose of ascertaining and determining the value of the Works as stated in this Clause, the measurement of the Works as executed in the As-Built Drawings, shall be carried out by the Contractor progressively and timely, and submitted to the Engineer for his approval.

#### **Sub-Clause 12.2 -Method of Measurement**

Delete sub-paragraph (b) and replace it with the following:

"The Works shall be measured in accordance with the Specifications, the Method of Measurement included and in accordance with the descriptions of items and preambles stated in the Bills of Quantities".

#### **Sub-Clause 12.3 - Evaluation**

In sub-paragraph (a) (i) replace "10%" with "25%".

In sub-paragraph (a)(ii) replace "0.01 %" with "0.5%".

In sub-paragraph (a)(iii) replace "1%" with "3%".

In the fourth line of the penultimate paragraph, delete the following sentence:

"it shall be derived from the reasonable Cost of executing the work, together with reasonable profit," and replace with the following: "the Contractor shall submit to the Engineer a complete substantiated build-up of the rates including the direct cost of labour, material, equipment and the like to the detail and in the manner required by the Engineer, and any other required supporting documents. The applied margin covering the overheads and profit of the Contractor including taxes shall be set taking regard to all relevant elements as per Sub-Clause 1.1.4.13."

#### **Sub-Clause 13.1 - Right to Vary**

Insert the following at the end of sub-paragraph (d) of this Sub-Clause:

"except that the Engineer shall be entitled to omit parts of works if there is a breach by the Contractor related to such works and the Contractor receives a notification to rectify such breach and fails to rectify the breach within 15 days. In such case, the omitted works may be carried out by the Employer or by others and the Contractor shall not be entitled to loss of profit on the omitted works".

In sub-paragraph (e) delete "necessary for" and replace with "within the fundamental nature of"  
Insert the following sub-paragraph (g) after sub-paragraph (f) of this Sub-Clause:  
"(g) accelerate or decelerate all or part of the Works".

#### **Sub-Clause 13.3 - Variation Procedure**

Insert the following at the beginning of this Sub-Clause:

"The Engineer may instruct a Variation pursuant to this Sub-Clause by means of a written notice ("Variation Instruction"). In the event the Contractor receives an oral instruction, the provisions of Sub-Clause 3.3 [Instructions of the Engineer] shall apply"

In the second line of the first paragraph, delete "as soon as practicable" and replace with "within 14 days"

In the third line of the first paragraph, after "or by submitting" and before the colon (:), add the following "the ("Variation Proposal") including"

Delete the paragraphs "The Engineer shall, as soon as practicable ... who shall acknowledge receipt" and replace with the following:

"Upon receipt of the Variation Proposal, the Engineer shall proceed in accordance with Sub-Clause 3.5 [Determinations] to determine (i) the extension (if any) of the Time for Completion (before or after its expiry) in accordance with Sub-Clause 8.4 [Extensions of Time for Completion], and/or (ii) the additional payment (if any) to which the Contractor is entitled under the Contract. The Engineer shall make such determination without undue delay and shall issue a document ("Variation Order") formalizing the cost and time impacts of the Variation Instruction.

Until such Variation Order is issued, if the Engineer wishes the Contractor to proceed with the variation, the Engineer shall notify the Contractor to do so and the Contractor shall be entitled to include in his payment statements such Variation Proposal amounts that have been reasonably substantiated by the Contractor and accepted by the Employer or otherwise as determined by the Engineer.

If the Contractor considers any instruction by the Engineer (for which the Engineer refused or failed to issue a Variation Instruction) to constitute a Variation under this Sub-Clause, then the Contractor shall comply with the provisions of Sub-Clause 20.1 [Contractor's Claims] in this regard.

During the review and negotiation of any Variation, the Contractor shall not suspend performance of any work or variations (including the Variation at issue), except as may be directed by the Engineer".

#### **Sub-Clause 13.7 - Adjustments for Changes in Legislation**

Add at the beginning of this Sub clause "The Accepted Contract Amount is fixed and final and inclusive of all compensation, contingencies and adjustments till the completion of the Contract, including any but not limited to future changes in legislation, fuel price changes, and/or currency fluctuations. The Contractor waives and claim related the abovementioned and agrees that no additional claims shall be permitted except as indicated for the material only under the Contract."

In the first and second paragraphs, delete "the Base Date" and replace with "the Agreement Effective Date."

#### **Sub-Clause 13.8 - Adjustments for Changes in Cost**

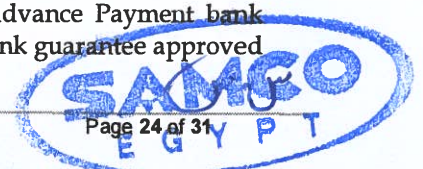
Delete this Sub-Clause in its entirety and replace with the following:

"Except as otherwise stated in the Appendix to Tender and the Contract, the Contract prices shall be firm and no adjustment to the Contract Price shall be made in respect of any rise or fall in the cost of labour and/or materials, exchange rate fluctuation of the Currency of Payment or any other matters affecting the cost of the execution of the Works. The Contract Price is fixed and final and the Contractor included all compensation, contingencies and adjustments till the completion of the Contract to avoid any increase in the Contract Price, including any but not limited to future changes in legislation, fuel price changes, and/or currency fluctuations. The Contractor waives and claim related the abovementioned and agrees that no additional claims shall be permitted except as indicated for the material only under the Contract."

#### **Sub-Clause 14.2 - Advance Payment**

"Insert the following at the end of the third paragraph of this Sub-Clause:

"The Contractor shall issue and submit to the Employer, at his cost, an Advance Payment bank guarantee. The guarantee shall be in the form of an unconditional first-class bank guarantee approved



by the Employer in accordance with the specimen attached to the Request for Proposal, or in absence thereof in a form acceptable to the Employer, at the Employer's discretion. The guarantee shall be payable on the Employer's first demand".

In the first line of sub-paragraph (b) under the fifth paragraph, replace "one quarter (25%)" with "a percentage equivalent to the percentage of the advance payment".

After the last paragraph of the Sub-Clause, add the following paragraph:

"If, however, it is apparent to the Employer, at any time, that by applying the percentage of the deduction of the Advance Payment stated in this Sub-Clause, the Advance Payment shall not be repaid prior to the date of the issue of the Taking-Over Certificate (or in any of the cases specified in the above paragraph), the Employer shall be entitled to proportionate the percentage of the deduction of the advance payment".

#### **Sub-Clause 14.3 - Application for Interim Payment Certificates**

Delete "(e) any amounts to be added and deducted for Plant and Materials in accordance with Sub-Clause 14.5 [Plant and Materials intended for the Works]" and replace with "(e) 70% of the value of the invoices of mobilized Materials and Plants, when delivered to Site and inspected by the Engineer, within the appropriate times based on the progress of the Works. The Parties agree that these sums shall be limited to major Materials and Plants only, including the following if applicable, as approved by the Engineer or as provided below: Reinforced steel bars

#### **Sub-Clause 14.5 - Plant and Materials intended for the Works**

Delete this Sub-Clause in its entirety and replace with following:

"Mobilized Material and Plant to the Site shall not be removed from the Site, unless there is a written approval by the Engineer to that effect".

Insert the following new paragraph at the end of this Sub-Clause:

"The Contractor shall keep all such Plant and Materials properly segregated and labelled and permit the Engineer to inspect or remove such Plant and Materials at any time. Up till the issue of the Taking-Over Certificate of the Works, the Contractor shall continue to be responsible for the care, storage, delivery and insurance of such Plant and Materials and shall indemnify the Employer against any loss or damage caused to them".

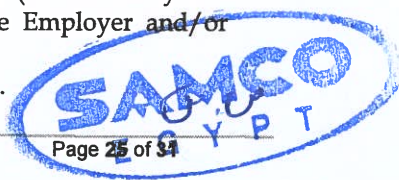
#### **Sub-Clause 14.6 - Issue of Interim Payment Certificate**

Replace the "28" in the second line of the first paragraph with "30".

Replace the third paragraph from this Sub-Clause with the following:

"The Employer and/or the Engineer may decide not to approve a portion from Interim Payment Certificate, in any of the following cases:

1. the Contractor's failure to remedy any defective work
2. damages to any of the works of the Employer and/or of the Employer's other contractors that are caused by the Contractor
3. the Contractor's failure to provide shop drawings, samples, submittals or any other documents required to be submitted by the Contractor
4. the Contractor's failure to provide the programme or any revision thereof or the cash flow or any revision thereof or to provide resource schedules, cash flow estimate and the like as may be instructed by the Engineer
5. the Contractor's failure to acquire the Engineer's approval to the programme within 45 days from the Agreement Effective Date, excluding the Engineer's delay for approval
6. the Contractor's failure to submit a complete Measurement of the Work (quantity survey) based on the contractual drawings, with all supporting documents, within 60 days from the Commencement Date
7. if there is reasonable evidence that the Works shall not be completed within the Time for Completion either for the whole of the Works or for any Section thereof
8. the Contractor's persistent failure to carry out the Works in accordance with the Contract Documents
9. the Contractor's failure (or any of its staff or labour) to comply with the HSE (Health Safety and Environment) requirements or security requirements as instructed by the Employer and/or Engineer
10. the Contractor is in breach of any of its other obligations under the Contract".



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#### **Sub-Clause 14.7 - Payment**

Delete the first paragraph in its entirety and replace with the following:

"The Employer shall pay to the Contractor:

- a) The Advance Payment within 45 days after receiving the documents in accordance with Sub-Clause 14.2 [Advance Payment],
- b) the amount certified in each Interim Payment Certificate within 45 days after the Engineer receives the Statement and supporting documents; and
- c) the amount certified in the Final Payment Certificate within 56 days after the Employer receives this Payment Certificate."

#### **Sub-Clause 14.8 - Delayed Payment**

Delete this Sub-Clause in its entirety and replace with the following:

"If the Contractor does not receive payment in accordance with Sub-Clause 14.7 [Payment], the Contractor shall be entitled to interest on the amounts due which is equivalent to 5% of the amounts due and in accordance with the Egyptian Civil Law for the period of the delay in payment. This period shall be deemed to commence after 14 days for the duration of payment specified in Sub-Clause 14.7 [Payment]". If the payment is delayed a period between than 15 days and 60 days, the Contractor shall be entitled to interest and Extension of Time subject to submitting a detailed claim to the Engineer for review and approval.

#### **Sub-Clause 14.11 - Application for Final Payment Certificate**

Delete the words "under Sub-Clause 20.4 [Obtaining Dispute Adjudication Board's Decision] or Sub-Clause 20.5 [Amicable Settlement]".

#### **Sub-Clause 14.13 - Issue of Final Payment Certificate**

Insert the following new paragraph at the end of this Sub-Clause:

"The amounts certified in the Final Payment Certificate shall not be paid unless and until the Contractor has:

- (i) issued a social insurance clearance certificate.
- (ii) issued a clearance from tax authorities evidencing the payment of labour income taxes due under the laws of the Arab Republic of Egypt and customs regularization of all imported shipments".

#### **Sub-Clause 14.15 - Currencies of Payment**

Delete Sub-Clause 14.15 and replace with the following:

"The Contract Price and all payments due to the Contractor from the Employer and vice versa shall be payable in Egyptian Pounds. No adjustment shall be made to the Contract Price for fluctuations in the rates of exchange between that currency and the currencies in which the Contractor incurs his expenditure, except as stated in the Contract."

**Add new Sub-Clauses 14.16 to 14.17 as follows:**

#### **Sub-Clause 14.16 - Taxes and Duties**

The Accepted Contract Amount shall be deemed to include all customs duties and charges, import duties, business taxes and other taxes that may be levied in accordance with the Laws and regulations in being at the Base Data in the Country on Materials and Plant (permanent, temporary and consumable) to be used or furnished under the Contract and on the services performed under the Contract.

In accordance with the applicable law in the Arab Republic of Egypt, the Contractor shall remit all value added taxes (VAT), subject to the invoice approved by the Employer, to the appropriate government authority and manifest the clearance of paying such taxes, within the statutory durations and requirements.

In any case, the Contractor shall be under the obligation to submit documents subject to the Employer's approval, verifying that the amounts of VAT paid under this Contract by the Employer has been remitted in full to the relevant authorities. Such documents shall be a mandatory prerequisite to issue the statement at completion and shall be issued by the Contractor to the Employer at the end of each fiscal year during the Contract duration.

#### **Sub-Clause 14.17 - Income Tax on Staff**

The Contractor's staff, personnel and labour will be liable to pay personal income tax in respect of such of their salaries and wages as are chargeable under the Laws and regulations for the time being in force in Country, and the Contractor shall perform such duties with regard to deductions of such taxes as may be imposed on him by such Laws and regulations.

#### **Sub-Clause 15.2 - Termination by Employer**

After the words "terminate the Contract" in the first, third and fourth paragraphs of this Sub-Clause, add "or part of the Contract".

Delete the following:

"In any of these events or circumstances, the Employer may, upon giving 14 days' notice to the Contractor, terminate the Contract and expel the Contractor from the Site. However, in the case of sub-paragraph (e) or (f), the Employer may by notice terminate the Contract immediately."

and replace with:

"In any of the above events, the Employer may be entitled to terminate the Contract or any part thereof, provided that the Contractor does not rectify such breach within (7) days after receipt of written notice of breach from the Employer. Termination shall be without prejudice to any other remedy or rights of the Employer. Termination will be effected automatically without need for any warning, notice, judgment, court order, and arbitration award, legal, judicial or un-judicial procedures."

#### **Sub-Clause 15.4 - Payment After Termination**

Delete sub-paragraph (a) and re-number sub-paragraphs (b) and (c) to read (a) and (b), respectively.

#### **Sub-Clause 15.5 - Employer's Entitlement to Termination**

After the words "terminate the Contract" in the first and third sentences of this Sub-Clause, add "or part of the Contract".

Insert the following at the end of the first paragraph:

"Termination under this Sub-Clause will be effected automatically without need for any warning, further 30 day notice and a submittal of mitigation plan for approval(except for as stated under the Contract), judgment, court order, arbitration award, legal, judicial or un-judicial procedures".

Insert the word "only" before "in accordance with Sub-Clause 19.6" in the second paragraph.

#### **Sub-Clause 16.1 - Contractor's Entitlement to Suspend Work**

Replace "If the Engineer fails to certify in accordance with Sub-Clause 14.6 (*Issue of Interim Payment Certificates*) or the Employer fails to comply with Sub-Clause 2.4 (*Employer's Financial Arrangements*) or Sub -Clause 14.7 (*Payment*)."

with

"If the payment is delayed a period more than 90 days"

#### **Sub-Clause 16.2 - Termination by Contractor**

Delete this Sub-Clause in its entirety.

#### **Sub-Clause 17.1 - Indemnities**

Delete the words "the Contractor's design (if any)" in sub-paragraphs (a) and (b) of this Sub-Clause and replace with "the design".

#### **Sub-Clause 17.3 - Employer's Risks**

Delete bullet "g".

Insert the following sentence at the end of this Sub-Clause:

"The Employer's risks are limited to the above risks if occurring in Egypt".

#### **Sub-Clauses 18.1 - General Requirements for Insurances, and Sub-Clauses (18.2, 18.3 & 18.4)**

Delete the said Sub-Clauses in their entirety and replace with the following:

"The Contractor shall at its own Cost take out the following insurances with insurers acceptable to the Employer and under one or more policies in such form and with only such exclusions and restrictions as the Employer may approve, namely:

- a) **Contractor's Equipment** - being coverage in respect of all risks of physical loss or damage, which may occur:

- i. to any Contractor's Equipment.

**Sum Insured:** To be on the Contractor's own risk.

- b) **Workmen's Compensation** - being coverage as required by the laws and regulations in the Country in respect of personal injuries (including death and including claimant's and defense costs) to employees of the Contractor and its Subcontractors resulting from or occurring in connection with the carrying out of the Works and/or the remedying of defects therein and/or the Contractor's observance or performance of or failure to observe or perform its other obligations under the Contract including its Extended Warranty obligations. Such coverage shall be extended to include the Employer's and Employer's Liability of not less than the statutory amount for each accident or (if no such statutory amount) not less than the amount stated below for each accident. The obligations of this paragraph shall with respect to any employees of a Subcontractor be satisfied by a policy otherwise complying with this subparagraph but being in the name of the Subcontractor rather than of the Contractor, provided that the Employer is indemnified under the policy; but the Contractor shall be liable for procuring the compliance by the Subcontractor with the provisions of this Sub-Clause.

**Sum Insured:** The limit required by applicable laws, if no statutory amount stated, not less than 150,000 EGP for each accident or occurrence of an event.

- c) **Motor Vehicle Third Party and Passenger Liability Insurance** - being coverage in respect of death of or injury to persons and/or loss of or damage to property in respect of motor vehicles used by the Contractor in connection with the carrying out of the Works or the remedying of defects therein. The Contractor shall ensure that Subcontractors maintain such insurance in respect of motor vehicles used by them. Such insurance shall provide an unlimited indemnity for death of or injury to persons and the equivalent of not less than the amount stated below for loss of or damage to property, which shall be extended as, may be necessary to cover any additional cover required by statutory requirements in the Country.

**Sum Insured:** not less than applicable laws for each death of or injury to persons. 250,000 EGP for each loss of or damage to property.

The Contractor shall procure that the policy, or each of the policies, of insurance referred to in this Sub-Clause contains a waiver by the insurers of any and all rights of subrogation they might otherwise be able to exercise against the Employer or any of its consultants, servants, employees or agents.

- d) Without limiting the Contractor's obligations, liabilities and responsibilities under this Contract, the Contractor shall be obliged to take out and maintain at its own cost **Contractors All Risks insurance and Public Liability insurance** of the types set out in this subparagraphs (i) and (ii) of this Sub-Clause and which shall be in accordance with the insurance specifications set out in this Clause from the commencement of the Works on Site until the issue by the Engineer of the Taking-Over Certificate in accordance the Contract and during the Defects Notification Period applicable to the Works or complying with the Contractor's obligations under the Contract:

- i) Contractor's All Risks - being coverage in respect of all risks of physical loss or damage, which may occur:

1. to any Section or Portion of the Works or any relevant Plant or any relevant Free Issue Items while the Contractor shall be responsible for the care thereof as provided in the Contract and, with regard to loss or damage arising from a cause occurring prior to the issue of the Taking-Over Certificate under the Contract for any Section of the Works, during the Defects Notification Period applicable to that Section of the Works; and

to the Works, or any part thereof or any Plant or any Free Issue Items if such loss or damage is occasioned by the Contractor or by any Subcontractor in the course of any operations carried out by it or by such Subcontractor for the purpose of completing any outstanding work which it shall have undertaken to finish during the Defects Notification Period or complying with its obligations under the Contract or complying with its obligations under any Extended Warranty. However the said Plant shall not be covered under these policies prior to its delivery to and during its unloading at the Site.

Such coverage shall in the case of sub-paragraph (1) above have a limit of liability of not less than one hundred and fifteen per cent (115%) of the current replacement value of the Works and the Free Issue Items which the Contractor shall for the time being responsible for the care of.

Such coverage shall in the case of sub-paragraph (2) above have a limit of liability of not less than one hundred and fifteen per cent (115%) of the current replacement value of the whole of the Works and the Free Issue Items. Each such limit of liability as aforesaid shall apply for any one occurrence or series of occurrences arising out of one event.

Such coverage shall in all cases include all labour charges, transportation charges, professional fees, debris removal and demolition Costs, and other Costs.

The insurance shall be in the joint names of the Employer and the Contractor and with the Employer named as "First Loss Payee".

- ii) Public Liability - being coverage in respect of legal liability for loss, injury (including death) or damage to persons or property (other than property forming part of the Works and the Free Issue Items not yet taken over), including in each case claimant's and defense costs, resulting from or occurring in connection with the carrying out of the Works and/or the remedying of defects therein and/or the Contractor's observance or performance of or failure to observe or perform its other obligations under the Contract. Such liability shall without limitation include liability to consultants, servants, employees and agents of the Employer and the Employer. Such coverage shall have a limit of liability of not less than the amount stated below for any one occurrence or series of occurrences arising out of one event and may, in respect only of the said loss or damage to property.

The insurance shall be in the joint names of the Employer and the Contractor and with the Employer named as "First Loss Payee".

Coverage: Third Party Liability Insurance covering the liability for loss, injury (including death) or damage to persons or property including claimant's and defense costs in connection with the carrying out of construction, erection, commissioning of the Works

#### Evidence and Terms of Insurances

The Contractor shall provide evidence to the Employer prior to start of work at the Site that the insurances required under the Contract have been effected and shall, within 28 days of the Commencement Date, provide the insurance policies to the Employer. The Contractor shall effect all insurances for which he is responsible with insurers and in terms approved by the Employer. The insurance policy shall include a cross liability clause such that the insurance shall apply to the Contractor and to the Employer as separate insured.

#### Adequacy of Insurances

The Contractor shall notify the insurers of changes in the nature, extent or programme for the execution of the Works and ensure the adequacy of the insurances at all times in accordance with the terms of the Contract and shall, when required, produce to the Employer the insurance policies in force and the receipts for payment of the current premiums.

#### Remedy on Contractor's Failure to Insure

If the Contractor fails to effect and keep in force any of the insurances required under the Contract, or fails to provide the policies to the Employer, as required by the Employer, then and in any such case the Employer may effect and keep in force any such insurances and pay any premium as may be necessary for that purpose and from time to time deduct the amount so paid from any monies due or to become due to the Contractor, or recover the same as a debt due from the Contractor. Any amounts not insured shall be borne by the Contractor."

#### **Sub-Clause 19.1 - Definition of Force Majeure**

Add the words "and other than the bedouins" after "other than the Contractor's Personnel and other employees of the Contractor and Sub- contractors" in sub-paragraph (iii),

#### **Sub-Clause 19.4 - Consequences of Force Majeure**

Delete sub- paragraph (b) of this Sub-Clause in its entirety.

Insert the following sentence at the end of this Sub-Clause:

"Any extensions to the Time for Completion under this Sub-Clause shall constitute the Contractor's sole remedy for any consequences of Force Majeure under this Contract".



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#### **Sub-Clause 20.1 – Contractor's Claims**

Insert the following paragraph at the beginning of this Sub-Clause:

"Notwithstanding any other provision of the Conditions of Contract, the Contractor understands that other contractors may be working simultaneously on the Project during the execution of the Works. The Contractor shall anticipate in the programme and in the rates and prices in the Contract that the execution of the Works may be interfered with, temporarily delayed or the sequence thereof may be modified from time to time on account of concurrent activities of other contractors that cause minor disruption and/or delays to the Works. The Contractor shall take all reasonable measures to cooperate with other contractors so that minimum delays and interference are experienced among contractors."

Insert the following paragraph at the end of the third paragraph of this Sub-Clause after "all as relevant to such event or circumstance":

"Notwithstanding any other provision of the Contract, if the Contractor fails to comply with any of the provisions of the Contract including without limitation the provisions of Sub-Clauses 1.9, 4.12, 13.3 and 20.1 of the Conditions of Contract, in respect of any act, event or omission of whatever nature which in the opinion of the Contractor should result in an increase in the Contract Price and/or an extension of the Time for Completion, such failure shall constitute on the part of the Contractor a definitive and irrevocable waiver of, and release of the Engineer and the Employer from, any and all claims arising from any such act, event or omission and the Contractor shall be irrevocably stopped from raising any claims arising from any such act, event or omission thereafter".

Insert the following at the end of this Sub-Clause:

"The Contractor shall send to the Engineer once in every month a separate account of all claims for any extension of time and/or additional payment to which the Contractor may consider himself entitled and of all Variations ordered. No extension of time or claim for payment will be considered unless it has been included in such monthly account.

In case of concurrent delays which entitle the Contractor to extension of time, the Contractor shall be entitled, provided that the Contractor has complied with all other requirements for his claim for extension of time, to an extension of time for such concurrent period but shall not be entitled to recover any costs in respect of the concurrent period".

#### **Sub-Clause 20.2 – Appointment of the Dispute Adjudication Board**

Delete this Sub-Clause in its entirety and replace with the following:

##### **Sub-Clause 20.2 – Engineer's Decision**

"If a dispute of any kind whatsoever arises between the Employer and the Contractor in connection with, or arising out of, the Contract or the execution of the Works, whether during the execution of the Works or after their completion and whether before or after repudiation or other termination of the Contract, including any dispute as to any opinion, instruction, determination, certificate or valuation of the Engineer, the matter in dispute shall, in the first place, be referred in writing to the Engineer, with a copy to the other party. Such reference shall state that it is made pursuant to this Clause. No later than the 42 day after the day on which he received such reference the Engineer shall give notice of his decision to the Employer and the Contractor. Such decision shall state that it is made pursuant to this Clause.

Unless the Contract has already been repudiated or terminated, the Contractor shall, in every case, continue to proceed with the Works with all due diligence and the Contractor and the Employer shall give effect forthwith to every such decision of the Engineer unless and until the same shall be revised, as hereinafter provided, in an amicable settlement or a court award.

"If the Engineer has given notice of his decision as to a matter in dispute to the Employer and the Contractor and no notice of dissatisfaction has been given by either the Employer or the Contractor within 28 days after the day on which the parties received notice as to such decision from the Engineer, the said decision shall become final and binding upon the Employer and the Contractor."

#### **Sub-Clause 20.3 – Failure to Agree Dispute Adjudication Board**

Delete this Sub-Clause in its entirety.

#### **Sub-Clause 20.4 – Obtaining Dispute Adjudication Board's Decision**

Delete this Sub-Clause in its entirety.

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**Sub-Clause 20.5 – Amicable Settlement**

In the first sentence of this Sub-Clause, delete the words “Where notice of dissatisfaction has been given under Sub-Clause 20.4 above” and replace with “Where notice of intention to commence legal procedures as to a dispute has been given in accordance with Sub-Clause 20.2”.

**Sub-Clause 20.6 – Arbitration**

Delete the content of the Sub-Clause in its entirety and substitute with the following:

“Unless settled amicably (a mediation will be part of the amicable settlement and it shall be according to CRCICA Rules), any dispute, in respect of which the decision, if any, of the Engineer has not become final and binding pursuant to Sub-Clause 20.2, shall be finally settled by court

**Sub-Clause 20.7 – Failure to Comply with Dispute Adjudication Board’s Decision**

Delete this Sub-Clause in its entirety and replace with:

**Sub-Clause 20.7 – Failure to Comply with Engineer's Decision**

Where neither the Employer nor the Contractor has given notice of intention to commence legal procedures of a dispute within the period stated in Sub-Clause 20.2 and the related decision has become final and binding, either party may, if the other party fails to comply with such decision, and without prejudice to any other rights it may have, refer the failure to court in accordance with Sub-Clause 20.6. The provisions of Sub-Clauses 20.2 and 20.5 shall not apply to any such reference.

**Sub-Clause 20.8 – Expiry of Dispute Adjudication Board's Appointment**

Delete this Sub-Clause in its entirety.



## General Requirements

### **1. Programme (Time Schedule)**

- 1.1. The Contractor shall submit a Programme Version P6.0 or later, with all the needed narratives, resources, cash flow and histograms as to fulfill the Engineer's requirements.
- 1.2. The Programme must be cost-loaded for all construction activities at the activity level. The aggregate value of all activities coded to a contract section shall be equivalent to the value of the Section on the Programme.
- 1.3. The Contractor shall submit a monthly updated programme along with its narrative, As per Sub-Clause 4.21 of the Contract
- 1.4. Long lead and free-issue materials must be mentioned separately in the schedule for coordination and follow up.
- 1.5. The Programme shall Include Both of the Contractor's activities And those of Employer's Directly Appointed Contractors as necessary to facilitate the overall Works at the Project.
- 1.6. The Employer will identify to the Contractor in due course and at a reasonable time during the Project duration any additional milestones related to the Employer's directly appointed contractors that shall be incorporated in his Time Schedule.

### **2. Recovery Plan**

- 2.1. In the event the Contractor falls 10% of the remaining calendar days or minimum of 45 calendar days behind schedule, the Contractor will be required to submit a recovery plan (programme and a detailed narrative) describing the steps that will be taken including those steps that may be required by the Engineer to improve the progress and recover the lost time and return the critical path of the Project to at least zero days total float. The Contractor shall submit the recovery plan within 28 calendar days of submitting a periodic programme update that indicates that the Contractor is 10% or more working days behind schedule. The detailed narrative shall be an update of the execution work plan and will provide a full explanation of the recovery programme.

### **3. Prequalification of Contractor's Suppliers Regarding the Reinforcement Steel**

The Contractor shall submit the pre-qualification documents and quotations for at least three suppliers to the Engineer for his approval, in any case, one month before the start of procuring the reinforcement steel as per the Programme.

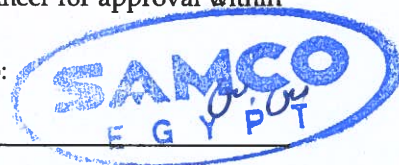
### **4. Prequalification of Contractor's Suppliers Regarding the Concrete**

The Contractor shall submit the pre-qualification documents and quotations for at least five suppliers to the Engineer for his approval, in any case, one month before the start of procuring the concrete as per the Programme. Three ready mix factories need to be approved by the Engineer as a back-up plan to avoid unexpected delays.

### **5. Quality Management System**

- 5.1. The Contractor shall implement a Quality Management System to demonstrate compliance with the requirements of the Contract (Quality Plan attached to the RFP). If the Contractor fails to submit/obtain approval of the Quality plan, the Quality plan attached to the RFP, or in absence of which the Quality plan as submitted by the Employer/Engineer, shall be deemed to be the final Quality Plan. In any case, the Employer's Quality Plan, attached to the RFP or submitted later, as the case may be, shall be deemed included in the final Quality Plan.
- 5.2. A dedicated QC manager for this contract should be assigned. The QC manager shall be subject to the Engineer's approval. The Engineer shall be entitled to audit any aspect of the system. Details of Quality Management System shall be submitted to the Engineer for approval within 28 days from the Commencement Date.
- 5.3. Details of Quality Management System shall include but not limited to:

#### **5.3.1. Project Quality Plan**



- 5.3.2. Method of statement (including the Risk Assessment)
- 5.3.3. Inspection and test plan
- 5.3.4. Quality Control Procedures and Instructions
- 5.3.5. Forms and templates to be used

## **6. Health and Safety**

- 6.1. The Contractor at his own cost shall implement the approved safety plan. If the contractor fails to submit/obtain approval of the safety plan, the safety plan attached to the RFP, or in absence of which the safety plan as submitted by the Employer/Engineer, shall be deemed to be the final safety plan. In any case, the Employer's safety plan, attached to the RFP or submitted later, as the case may be, shall be deemed included in the final safety plan.
- 6.2. A dedicated safety manager for this Contract should be assigned. The safety manager shall be subject to the Engineer's approval.
- 6.3. The Contractor shall submit a HSE plan for the Engineer's approval. The plan shall include but not limited to:
  - 6.3.1. A Project narrative and Site characterization and analysis.
  - 6.3.2. Site safety regulations.
  - 6.3.3. A hazard risk assessment.
  - 6.3.4. Projects plans, including but not limited to the Project signage, assembly points, control gates, labor camps, dump areas and so forth..
  - 6.3.5. Safety personnel organization chart.
  - 6.3.6. Full PPE for each personnel (includes but is not limited to safety shoes, gloves, helmet and reflecting jackets and the like) to be approved by the Engineer.
  - 6.3.7. Visitors safety planning.
  - 6.3.8. Location of the nursery office.
  - 6.3.9. Location and type of the dedicated emergency vehicle.
  - 6.3.10. Hoarding and signage.
- 6.4. The Contractor shall provide, at his own cost, the proper PPE for the personnel of the Employer, Engineer, supervision team, Employer's other consultants and the visitors with a maximum of 10 full PPE sets/year; including, helmets, glasses, safety shoes and vests.
- 6.5. Housekeeping:

The Contractor at his own cost shall keep the Site and the mobilization areas in a proper condition at all times. A walkthrough is to be conducted bi-weekly to check upon the Site housekeeping condition.
- 6.6. In case of the occurrence of any accident, the Contractor shall be obliged to notify the Engineer with detailed accident report on the agreed format indicating accident description, injuries, reasons and corrective action a maximum of one week from accident date.

## **7. Taking Over**

- 7.1. The Contractor shall complete the Works, Sections and/or parts, if any, in order for the Engineer to issue the Taking-Over Certificates within and in accordance with the Time(s) for Completion of the relevant Works, Sections and/or parts.
- 7.2. The Taking-Over criteria is to be, in addition to the criteria in the Conditions of Contract, as follows:
  - 7.2.1. No remaining/rejected inspection requests in relation to substantial works, as assessed by the Engineer
  - 7.2.2. No open Non-Conformance reports (NCR) in relation to substantial works, as assessed by the Engineer
  - 7.2.3. Site limits should be clear

7.2.4. The Contractor shall remove any debris and/or excavation material from the Site caused by his works even if it is out of the Site limits

7.2.5. Safe access to the units to allow the Employer's clients to reach their own units.

**8. Contractor Reports**

The Contractor shall submit daily, weekly and monthly reports as follows:

- 8.1. Daily Report: Shall include but not limited to the daily labor at sites with their allocation, Contractor's Equipment, delivered materials, major events and similar items. The report is to be submitted officially on a daily basis before 10 am.
- 8.2. Weekly report: Shall include but not limited to the Project correspondences logs (letters, RFI, IR, shop drawings and similar records), major events, Project highlights, one week look ahead, actual vs. planned and reasons for delays. The report is to be officially submitted two working days prior to the weekly meeting.
- 8.3. Monthly Report: Shall include but not limited to the Project highlights, Programme updates, delay analysis (if any), one month look ahead, Project KPI's, Site progress photos, Project logs, procurement logs, technical submittals log, quality logs pending issues and the like thereof.

**9. Employer's Contract with Ready Mix Concrete Supplier**

- 9.1. Where the Employer decides to establish a concrete batch plant on Site in order to supply the concrete needed for the Works from this batch plant, the Contractor shall comply with all the duties and responsibilities referred to and/or assigned to him under the Contract between the Employer and the Ready Mix Concrete supplier(s) and shall give effect to all relevant provisions therein in accordance with the Employer/Engineer's instructions given to him from time to time in relation to supplying the Ready Mix Concrete. The duties and requirements (to be performed by the Contractor) shall be treated as a Variation in accordance with Clause (13) [Variations]
10. **The Contractor shall employ Revit software strictly for structural modeling only and shall submit the Revit Model source to the Employer. All other engineering-related activities, including but not limited to shop drawings, as-built documentation, and preparatory works - shall be performed using AutoCAD (ASD)**

